EQUITY INVESTMENT BRIEF

Nigerian Exchange Limited (NGX)

Portfolio Investment Recommendation Report

June 2026 Investment Period

TICKER	COMPANY	SECTOR	RATING
MTNN	MTN Nigeria Communications Plc	Telecoms	**BUY**
ZENITHB	Zenith Bank Plc	Banking	**BUY**
GTCO	Guaranty Trust Holding Co. Plc	Banking	**BUY**
DANGCEM	Dangote Cement Plc	Industrial Goods	**ACCUMULATE**
SEPLAT	Seplat Energy Plc ★	Oil & Gas	**ACCUMULATE**
ARADEL	Aradel Holdings Plc ★	Oil & Gas	**BUY**
PRESCO	Presco Plc ★	Agriculture	**BUY**

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Report Date
May 17, 2026
Investment Period: June 2026
Market: Nigerian Exchange Limited (NGX)
Currency: Nigerian Naira (NGN)

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IMPORTANT NOTICE

This report was prepared exclusively for investment advisory and portfolio decision-making in connection with June 2026 equity positioning on the Nigerian Exchange Limited. All data, prices, and financial metrics are verified as of May 17, 2026 and sourced from the Nigerian Exchange Group, the Central Bank of Nigeria, the National Bureau of Statistics, Nairametrics, BusinessDay NG, TRW Stockbrokers, Simply Wall St, Investing.com, and company filings. Any investment involves risk. Past performance does not guarantee future results. Investors are advised to engage a licensed stockbroker before executing any trade. The author accepts no liability for any loss arising from reliance on this report.

EXECUTIVE SUMMARY

The Nigerian Exchange Limited (NGX) All-Share Index closed at 252,508 points on May 13, 2026, an all-time record, before settling at 250,330.92 as of May 15, 2026, reflecting a year-to-date gain of 60.87 percent. Market capitalization stands at N160.5 trillion (approximately USD 117 billion). This multi-year bull run is driven by four structural forces: FTSE Russell's restoration of Nigeria's Frontier Market status effective September 21, 2026; the conclusion of the CBN banking recapitalization program; record Q1 2026 corporate earnings from listed companies; and sustained macroeconomic reform under the Tinubu administration.

Seven NGX equities are recommended for June 2026. They span five sectors: telecoms, banking, industrial goods, oil and gas, and agriculture. Three of these stocks, Seplat Energy, Aradel Holdings, and Presco, are classified as scarce high-priced stocks with limited floating shares. The macroeconomic backdrop is cautiously positive: CBN projects real GDP growth of 4.49 percent for 2026, April 2026 headline inflation stands at 15.69 percent (down from 26.82 percent in April 2025), external reserves reached USD 50.45 billion (a 13-year high), and the naira has stabilized in the N1,350 to N1,430 per USD range.

KEY INVESTMENT CONCLUSIONS	
MTNN	Highest conviction BUY. Q1 2026 PAT surged 165.9% to N355.5 billion on revenue of N1.50 trillion. Data revenue (N826.1 billion) now exceeds voice. FTSE index eligible with 89.5 million subscribers.
ZENITHB	Highest conviction BUY. Q1 2026 PBT of N360.9 billion (+2.87% YoY). First Nigerian bank to surpass N5 trillion market cap. Dividend: N10.00 per share (FY2025). Strong Buy consensus (6 of 6 analysts).
GTCO	Strong income BUY. Highest FY2025 dividend in the banking sector at N12.76 per share (yield: 9.19% at N138.90). FY2025 revenue: N1.71 trillion. FTSE eligible.
DANGCEM	ACCUMULATE. Q1 2026 revenue N1.20 trillion (+20%), net income N321.1 billion (+56%). Market cap N19.9 trillion — the largest on the NGX. Entry on 5-8% pullbacks preferred at current premium valuation.
SEPLAT★	ACCUMULATE. 2025 production +148% to 131,506 boepd; revenue +144% to USD 2.73 billion. Highest-priced NGX stock. Phased entry at current elevated P/E of 28.3x is warranted.
ARADEL★	BUY. Top performer with +174% YTD. FY2025 net income N397.9 billion (+54%). Fully integrated energy model across upstream and downstream segments provides earnings resilience.
PRESCO★	BUY. FY2025 PBT +57.4% to N177.98 billion. Total FY2025 dividend: N44.66 per share. Expanded plantation base by 10,000 hectares. Structural demand from import-substitution policy tailwinds.

1. MACROECONOMIC ENVIRONMENT AND POLICY CONTEXT

1.1 GDP Growth and Reform Momentum

Nigeria's real GDP grew by 3.89 percent in 2025, up from 3.79 percent in 2024, supported by improvement in both oil and non-oil sectors. The CBN projects that growth will accelerate to 4.49 percent in 2026, driven by structural reforms, gradual monetary easing, and improved private-sector investment. The services sector remains the primary engine of growth, while agriculture continues to recover and the oil sector benefits from rising production capacity, including the ramp-up of the Dangote Refinery. The non-oil sector has demonstrated resilience, with technology, telecoms, financial services, and consumer goods each maintaining positive contributions to national output.

1.2 Inflation and Monetary Policy

Headline inflation, as measured by the NBS Consumer Price Index under the 2024 rebased methodology, stood at 15.69 percent in April 2026. This represents a marked decline from the 26.82 percent recorded in April 2025, though it reflects a marginal rise from 15.38 percent in March 2026 following renewed pressure in food and transportation costs linked to Middle East supply disruptions. On a month-on-month basis, headline inflation slowed to 2.13 percent in April from 4.18 percent in March, indicating a deceleration in the pace of price increases. Core inflation stood at 15.86 percent year-on-year. The Monetary Policy Rate (MPR) currently stands at 26.5 percent following the February 2026 MPC reduction, signaling that policymakers are cautiously beginning to ease as inflation declines. Lower rates ahead would reduce borrowing costs, support equity valuations through a lower discount rate, and stimulate credit growth that benefits banks and industrials alike.

1.3 Foreign Exchange Stability

The naira has stabilized in the N1,350 to N1,430 per USD range as of May 2026, a substantial improvement from the acute volatility that saw rates spike above N1,600 per USD in early 2025. External reserves rose to USD 50.45 billion, a 13-year high, supported by stronger oil export earnings, improved portfolio inflows, and expanding local refining output from the Dangote Refinery, which has materially reduced FX demand for fuel imports. The CBN projects reserves rising further to USD 51 billion by end-2026. Daily FX volatility has declined sharply from over 4 percent in 2024 to approximately 0.5 percent in May 2026, a structural transformation in Nigeria's FX market that reduces the risk premium on naira-denominated equities.

1.4 FTSE Russell Frontier Market Reclassification

The most significant structural catalyst for Nigerian equities in 2026 is the formal reclassification of Nigeria from Unclassified back to Frontier Market status by FTSE Russell, effective September 21, 2026. Announced in April 2026 following a March interim review, the decision reverses the 2023 downgrade that had forced global passive funds to liquidate Nigerian holdings. The reclassification reflects Nigeria's passing of FTSE Quality of Markets criteria, including regulatory oversight, capital repatriation, brokerage competitiveness, and settlement efficiency under the new T+2 settlement cycle adopted in March 2026. Global index-tracking funds are now positioning in eligible NGX equities ahead of the September inclusion date. Foreign investment inflows already surged to USD 23.22 billion in 2025, more than five times the USD 3.91 billion recorded in 2023, underscoring the scale of restored investor confidence.

1.5 Fiscal Position

The federal government's fiscal outlook for 2026 is supported by improved non-oil revenue mobilization under the Nigeria Tax Act 2025. The fiscal deficit is projected at N12.14 trillion, equivalent to approximately 3.01 percent of GDP. Total public debt stood at 33.98 percent of GDP as of mid-2025, with projections showing a marginal increase to 34.68 percent by end-2026. Naira stabilization, reform credibility, and improving external accounts reduce the near-term fiscal risk to corporate earnings and market stability.

Figure 1: Nigeria Macroeconomic Indicators — GDP Growth, Inflation, Exchange Rate, and External Reserves (2022–2026F). Sources: CBN Macroeconomic Outlook 2026; NBS CPI Report May 15, 2026.

2. NIGERIAN EXCHANGE (NGX): MARKET OVERVIEW

The NGX All-Share Index closed at an all-time record of 252,508.19 points on May 13, 2026, before settling at 250,330.92 by May 15, 2026, with a year-to-date return of 60.87 percent. Market capitalization stands at N160.5 trillion (approximately USD 117 billion). The NGX closed 2025 at 155,613 points, representing a 51.19 percent full-year gain. The exchange currently hosts 314 listed securities including equities, ETFs, index futures, and bonds.

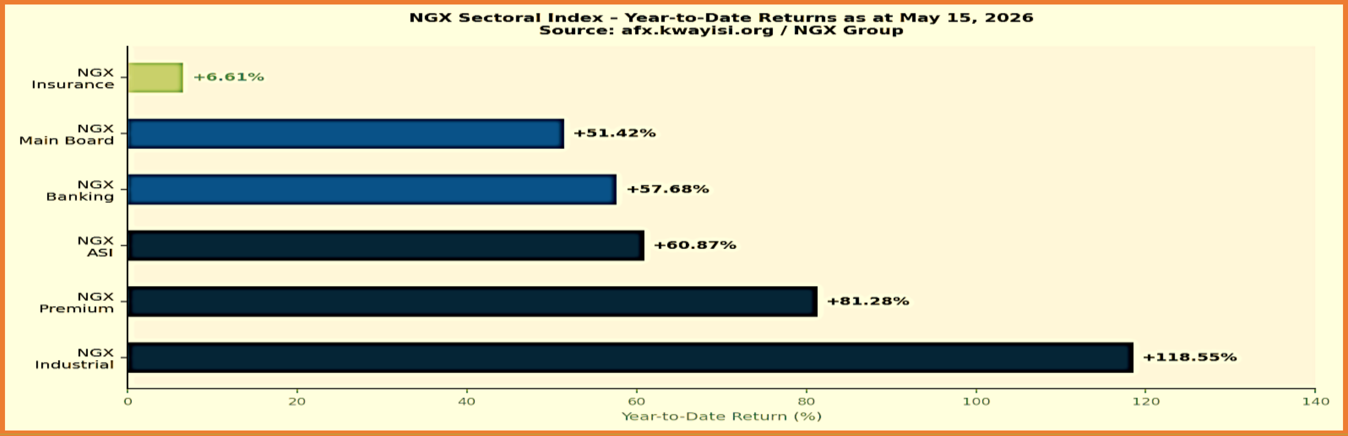
Figure 2: NGX All-Share Index — Annual Close and Current Level 2020 to May 2026. Source: NGX Group; afx.kwayisi.org.

2.1 Market Structure and Board Classification

The NGX operates three listing tiers. The Premium Board hosts eight companies that meet stringent capital, governance, and liquidity criteria: MTN Nigeria, Dangote Cement, Seplat Energy, Zenith Bank, Access Holdings, First HoldCo, Lafarge Africa, and United Bank for Africa. Together these account for approximately 38.8 percent of total NGX market capitalization. The Main Board and Alternative Securities Market (ASeM) host the broader universe of listed companies. Premium Board stocks are primary beneficiaries of the September 2026 FTSE index inclusion, as global passive funds concentrate allocations in the most liquid, highest-governance names.

2.2 Sectoral Performance (Year-to-Date, May 15, 2026)

Performance in 2026 has been strong across all major sectoral indices. The NGX Industrial Index leads the market with a confirmed 118.55 percent year-to-date gain, driven by Dangote Cement and BUA Cement. The NGX Premium Index has gained 81.28 percent, reflecting concentrated gains in the largest-cap stocks. The NGX Banking Index has advanced 57.68 percent, supported by strong Q1 2026 earnings. The NGX ASI benchmark stands at 60.87 percent year-to-date. The NGX Main Board Index has added 51.42 percent, while the NGX Insurance Index has gained 6.61 percent.



2.3 Market Participation and Investor Flows

For the week ended May 15, 2026, investors exchanged 7.772 billion shares worth N374.0 billion across 402,945 deals, reflecting a 15.32 percent increase in traded value week-on-week. Domestic investors continue to dominate transaction volumes. Institutional participation has risen significantly, indicating improving market depth. Foreign investor participation remains below historical averages but is expected to increase materially as the FTSE September rebalancing approaches. This asymmetry between current low foreign participation and expected inflows is a structural tailwind that supports further price appreciation in index-eligible large-cap names. The transition to a T+2 settlement cycle has improved execution efficiency and made the market more accessible to institutional allocators.

3. STOCK SELECTION METHODOLOGY

The seven stocks in this report were identified through a multi-factor screening process combining quantitative financial analysis, qualitative sector assessment, and macroeconomic sensitivity evaluation. Selection criteria are detailed below.

CRITERION	DESCRIPTION
Earnings Quality	Consistent and growing profitability across at least two consecutive annual reporting periods, supported by strong return on equity and return on assets.
Revenue Growth	Meaningful year-on-year revenue growth reflecting genuine business expansion rather than accounting-driven income gains.
Market Liquidity	Sufficient daily trading volume to allow meaningful position sizing without excessive price impact. All selected stocks meet the minimum liquidity threshold for institutional entry and exit.
Valuation Discipline	Assessment relative to sector peers using P/E, P/B, and EV/EBITDA ratios. Stocks trading at significant premiums to intrinsic value without clear growth justification are excluded.
Dividend Track Record	For income-generating stocks, consistency of dividend payments over at least three years and a sustainable payout ratio are required.
Sectoral Positioning	Preference for sectors with structural growth tailwinds: telecoms, energy, banking, and consumer staples, which offer defensible competitive positions in Nigeria's current economic cycle.
Index Relevance	Stocks likely to benefit from FTSE Frontier Market inflows receive additional weighting, particularly those on the NGX Premium Board.
Scarcity Value	High per-share price stocks with limited float are identified separately as scarce assets, where restricted supply can amplify price appreciation during periods of strong demand.

BUY *indicates strong conviction with a favorable risk-reward ratio at current prices.* ***ACCUMULATE*** *indicates good fundamentals but elevated valuations that warrant a phased entry strategy rather than immediate full-position deployment. ★ denotes scarce high-priced stocks.*

4. INDIVIDUAL STOCK ANALYSIS

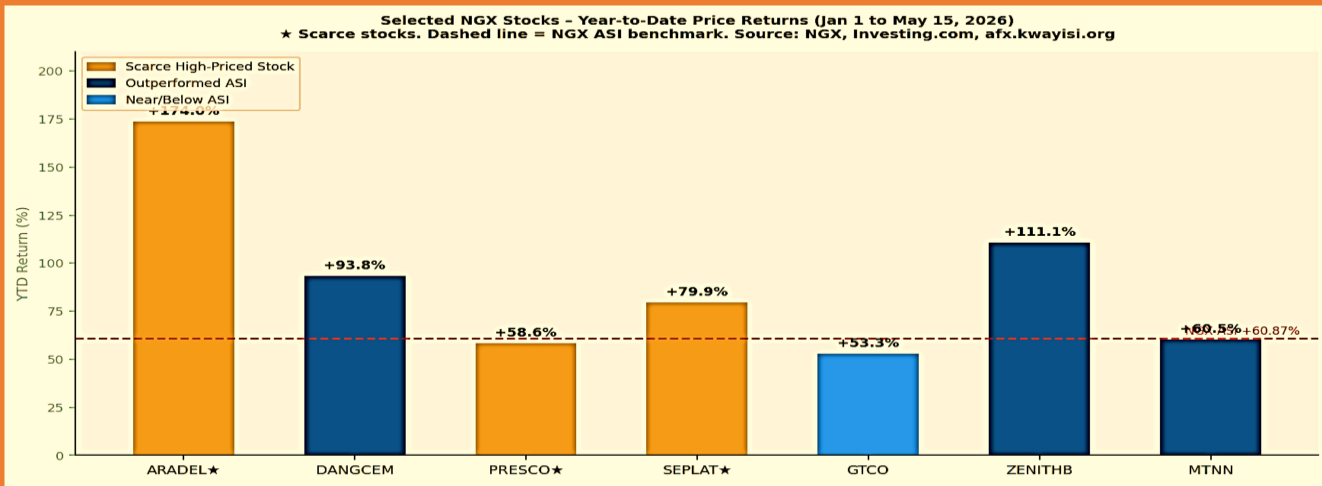


Figure 4: Year-to-Date Price Returns of Selected NGX Stocks (January 1 to May 15, 2026). ★ Scarce high-priced stocks. Dashed line = NGX ASI benchmark (+60.87%). Sources: NGX, Investing.com, afx.kwayisi.org.

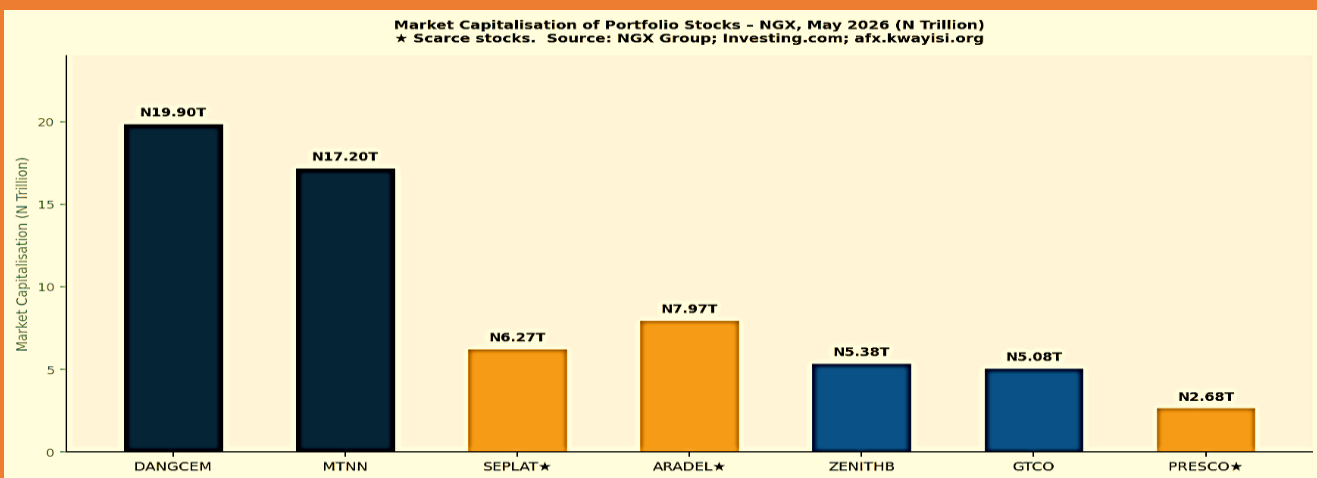


Figure 5: Market Capitalisation of Portfolio Stocks — NGX, May 2026 (N Trillion). ★ Scarce stocks. Sources: NGX Group; Investing.com; TradingView.

MTNN: MTN Nigeria Communications Plc

Sector: Telecoms | Board: NGX Premium | Rating: BUY

Share Price (May 15, 2026)	N820.00	**Total Subscribers**	89.5 Million (+6.5% YoY)
52-Week Range	N270 – N915	**Active Data Subscribers**	55.0 Million (+9.5% YoY)
YTD Return (2026)	+60.5% (from N511.00)	**EBITDA Margin (Q1 2026)**	55.3% (+8.7pp YoY)
Market Cap	~N17.2 Trillion	**Fwd P/E (Annlzd Q1 2026)**	~12.1x
Q1 2026 Revenue	N1.50 Trillion (+42.0% YoY)	**EPS (Q1 2026)**	N16.95 (+166% YoY)
Q1 2026 PBT	N546.4 Billion (+169.6% YoY)	**FY2025 Dividend**	N20.00/share (total)
Q1 2026 PAT	N355.5 Billion (+165.9% YoY)	**Dividend Yield**	~2.44% (on N820)
Data Revenue (Q1 2026)	N826.1 Billion (+56.2% YoY)	**FTSE Eligible**	Yes

MTN Nigeria is the most valuable company on the NGX by market capitalization and Nigeria's largest mobile network operator. Q1 2026 results released on April 30, 2026 showed service revenue rising 41.8 percent year-on-year to N1.489 trillion and pre-tax profit surging 169.6 percent to N546.4 billion, the company's second-best quarterly profit since listing. Data revenue of N826.1 billion now exceeds voice revenue of N450.7 billion, confirming a structural inflection in the revenue mix.

Fintech operations are being restructured through the proposed sale of a 60 percent stake in MoMo Payment Service Bank to MTN Group Fintech Holdings, with MTN Nigeria retaining 40 percent and receiving a N152.1 billion capital injection. The company targets at least low-20 percent average service revenue growth in the medium term and an EBITDA margin in the mid-to-high 50 percent range. The key risks are regulatory levies from the NCC and FIRS, and energy cost volatility, which management estimates could impact full-year EBITDA margin by 1.8 to 2.0 percentage points if diesel prices average N2,000 in H2 2026.

ZENITHB: Zenith Bank Plc

Sector: Banking | Board: NGX Premium | Rating: BUY

Share Price (Apr 30, 2026)	N130.50	**Loans & Advances**	N11.38 Trillion (+13.25% YoY)
52-Week Range	N43.00 – N136.90 (ATH Apr 24)	**Customer Deposits**	N24.47 Trillion (+7.87% YoY)
YTD Return (2026)	+111.2% (from N61.80)	**Total Assets**	N32.01 Trillion
Market Cap (May 14, 2026)	~N5.38 Trillion	**Shareholders' Equity**	N5.17 Trillion (+16.32% YoY)
Q1 2026 Gross Revenue	N1.01 Trillion (+6.14% YoY)	**FY2025 Dividend**	N10.00/share (total)
Q1 2026 PBT	N360.9 Billion (+2.87% YoY)	**Dividend Yield**	~7.66% (on N130.50)
Q1 2026 PAT	N314.0 Billion (+0.69% YoY)	**P/E Ratio (FY2025 EPS)**	~5.15x
Net Interest Income (Q1)	N634.1 Billion (+7.24% YoY)	**Analyst Consensus**	Strong Buy (6 of 6 analysts)

Zenith Bank delivered a resilient Q1 2026 performance, posting gross revenue exceeding N1 trillion for the first time and becoming the first Nigerian bank to surpass N5 trillion market capitalization. The bank's Q1 PBT of N360.9 billion rose 2.87 percent year-on-year despite higher loan impairments and macroeconomic headwinds, supported by a 7.24 percent increase in net interest income and a 4.64 percent decline in interest expenses.

Expansion is accelerating internationally. Zenith Bank inaugurated an operational office in Cote d'Ivoire in May 2026, extending its Francophone Africa footprint. The bank maintained its position as Nigeria's number one lender by Tier-1 capital for the 16th consecutive year in The Banker magazine's Top 1000 World Banks ranking. All six analysts covering the stock maintain a Buy rating. The FY2025 dividend of N10.00 per share yields 7.66 percent at current prices, one of the highest yields among large-cap Nigerian banks.

GTCO: Guaranty Trust Holding Company Plc

Sector: Banking | Board: Main Board | Rating: BUY

Share Price (May 7, 2026)	N138.90 (ATH: N137.90 Apr 29)	**FY2025 Dividend (total)**	N12.76/share
52-Week Range	N56.95 – N137.90	**Dividend Yield**	~9.19% (on N138.90)
YTD Return (2026)	+53.3% (from N90.70)	**EPS (FY2025)**	~N23.35
Market Cap	~N5.08 Trillion	**P/E Ratio (FY2025 EPS)**	~5.95x
FY2025 Revenue	N1.71 Trillion (+2.23% YoY)	**FTSE Eligible**	Yes
FY2025 Net Earnings	N853.6 Billion	**Recommendation**	BUY

Guaranty Trust Holding Company is one of Nigeria's most respected financial institutions. The company declared a total FY2025 dividend of N12.76 per share, the highest of any Nigerian bank, approved at the AGM on April 28, 2026. At the current price of N138.90, this equates to a dividend yield of 9.19 percent, making GTCO the best income stock in Nigeria's financial sector.

FY2025 revenue grew to N1.71 trillion, reflecting continued growth in interest income and expanding non-banking subsidiaries in payments, asset management, and insurance. GTCO's relative underperformance versus Zenith Bank year-to-date (+53.3 percent versus +111.2 percent) makes it a catch-up candidate as FTSE passive flows re-enter the market ahead of September 2026. At a P/E of 5.95x with a near-double-digit dividend yield, the valuation is compelling.

DANGCEM: Dangote Cement Plc

Sector: Industrial Goods | Board: NGX Premium | Rating: ACCUMULATE

Share Price (May 15, 2026)	N1,180.00	**Q1 2026 Revenue**	N1.20 Trillion (+20.0% YoY)
52-Week Range	N420.00 – N1,180.00 (ATH)	**Q1 2026 Net Income**	N321.1 Billion (+56.0% YoY)
YTD Return (2026)	+93.8% (from N609.00)	**Q1 2026 Profit Margin**	27% (from 21% in Q1 2025)
Market Cap (May 15, 2026)	~N19.9 Trillion (#1 on NGX)	**FY2025 Dividend**	N30.00/share
FY2025 Group Revenue	N4.31 Trillion (+20.3% YoY)	**Dividend Yield**	~2.54% (on N1,180)
FY2025 Group EBITDA	N1.98 Trillion (+43.4% YoY)	**P/E Ratio (FY2025 EPS)**	~19.9x
FY2025 Net Earnings	N1.00 Trillion (+101.3% YoY)	**EPS (Q1 2026)**	N19.14 (+55.7% YoY)

Dangote Cement is Nigeria's most valuable company by market capitalization (N19.9 trillion) and the largest cement producer in Sub-Saharan Africa, with operations in Nigeria, Ghana, South Africa, Ethiopia, Zambia, Tanzania, Senegal, Cameroon, Cote d'Ivoire, and Congo. Full-year 2025 group revenue grew 20.3 percent to N4.31 trillion, and net earnings more than doubled to N1.00 trillion as cement pricing power, alternative fuel adoption, and reduced finance costs drove exceptional margin expansion. EBITDA rose 43.4 percent to N1.98 trillion.

Q1 2026 results continued this trajectory: revenue grew 20 percent to N1.20 trillion and net income surged 56 percent to N321.1 billion. The ACCUMULATE rating at N1,180 reflects a P/E of approximately 19.9x — a premium to the global Basic Materials peer average of 14.6x — meaning disciplined entry on 5 to 8 percent pullbacks from current all-time highs is preferred over immediate full-position deployment. Institutional demand has been consistent and the NGX Industrial Index gain of 118.55 percent year-to-date is primarily driven by this stock.

SEPLAT — Seplat Energy Plc ★ Scarce Stock

Sector: Oil & Gas | Board: NGX Premium | Rating: ACCUMULATE

Share Price (Apr 14, 2026)	N10,450.00 (Scarce)	**2025 Gross Profit**	USD 904.5 Million (+156.4% YoY)
52-Week Range	N4,964 – N11,495	**2025 Production**	131,506 boepd (+148.0% YoY)
YTD Return (2026)	+79.9% (from N5,809.00)	**ANOH Gas Plant**	First Gas Jan 2026; 300 MMscfd capacity
Market Cap	~N6.27 Trillion	**ExxonMobil Acquisition**	Mobil Producing Nigeria — USD 1.28 Billion
2025 Revenue	USD 2.73 Billion (+144.2% YoY)	**NGX Board**	Premium Board
2025 PBT	USD 497.8 Million (+86.7% YoY)	**P/E Ratio**	~28.3x
2025 Net Income	USD 160.1 Million (+7.5% YoY)	**Recommendation**	ACCUMULATE

Seplat Energy delivered transformational growth in 2025, driven by the first full-year consolidation of the Mobil Producing Nigeria assets acquired from ExxonMobil for USD 1.28 billion. Group production rose 148 percent to 131,506 barrels of oil equivalent per day, revenue surged 144 percent to USD 2.73 billion, and pre-tax profit grew 86.7 percent to USD 497.8 million. The ANOH Gas Processing Plant in Imo State achieved first gas in January 2026, adding significant gas processing capacity and raising onshore gas capacity to over 300 million standard cubic feet per day at initial production, with 850 MMscfd total capacity guidance.

The stock trades above N10,000 per unit, Nigeria's first stock ever to do so, making it a scarce asset with a naturally limited investor base. The ACCUMULATE rating reflects the elevated P/E of 28.3x relative to the global oil and gas sector average of approximately 15.5x. While the premium is partly justified by exceptional production growth, phased entry on consolidation periods of 5 to 10 percent below peak levels is preferred. Investors should note that limited trading liquidity means that large institutional orders can move the price materially.

ARADEL — Aradel Holdings Plc ★ Scarce Stock

Sector: Oil & Gas | Board: Main Board | Rating: BUY

Share Price (May 15, 2026)	N1,834.90 (Scarce)	**FY2025 Net Profit Margin**	57% (from 44% in FY2024)
52-Week Range	N460 – N2,024 (ATH Apr 30)	**FY2025 EPS**	N91.59 (from N59.35 in FY2024)
YTD Return (2026)	+174.0% (from N670.00)	**ND Western Stake**	81.67% (after acquisition)
Market Cap (May 2026)	~N7.97 Trillion	**P/E Ratio (FY2025 EPS)**	~20.0x
FY2025 Revenue	N697.3 Billion (+20.0% YoY)	**Analyst Rating**	BUY (Renaissance Capital, Zedcrest)
FY2025 Net Income (PAT)	N397.9 Billion (+54.0% YoY)	**52-Week Total Return**	+351.8%

Aradel Holdings is the standout performer on the NGX in 2026, rising 174 percent year-to-date from N670 to N1,834.90 as of May 15, 2026. The stock reached an all-time high of N2,024 on April 30, 2026, and has since corrected approximately 9 percent, a healthy consolidation that presents a technically favorable re-entry opportunity for investors who missed the initial move. FY2025 net income grew 54 percent to N397.9 billion, with a net profit margin of 57 percent, among the highest of any Nigerian listed company across any sector.

The company's fully integrated energy model spans upstream crude oil production through the Ogbele Marginal Field, gas processing, and refined petroleum products. Total FY2025 revenue of N697.3 billion grew 20 percent year-on-year, with Aradel subsequently increasing its stake in ND Western Limited to 81.67 percent to consolidate upstream control. The current P/E of approximately 20x is above the African oil and gas industry average of 19x but is supported by superior earnings quality, vertical integration, and a track record of execution. Renaissance Capital and Zedcrest Wealth have both maintained BUY ratings through 2025 and into 2026.

PRESCO — Presco Plc ★ Scarce Stock

Sector: Agriculture | Board: Main Board | Rating: BUY

Share Price (Apr 30, 2026)	N2,300.00 (Scarce)	**FY2025 Total Assets**	N631.77 Billion (+30.3% YoY)
52-Week Range	N785.00 – N2,315.40	**FY2025 Shareholders' Equity**	N433.62 Billion (+28.9% YoY)
YTD Return (2026)	+58.6% (from N1,450.00)	**Plantation Expansion**	+10,000 hectares (Nsadop and Boki)
Market Cap	~N2.68 Trillion	**Rights Issue**	N236.67 Billion (funding acquisitions)
FY2025 PBT	N177.98 Billion (+57.4% YoY)	**Key Products**	CPO, Refined Palm Oil, PKO, PKC
FY2025 Total Dividend	N44.66/share	**ROCE**	~47%

Presco is one of Nigeria's leading agro-industrial companies, primarily engaged in oil palm cultivation and the production of crude palm oil, refined palm oil, palm kernel oil, and palm kernel cake across its estates in Edo State and now Nsadop and Boki through a 2025 acquisition of over 10,000 additional hectares. FY2025 pre-tax profit surged 57.4 percent to N177.98 billion, driven by robust growth in crude and refined palm oil revenues, higher product prices, and expanded processing capacity. The company filed FY2025 results with the NGX on May 1, 2026.

Presco benefits from multiple structural tailwinds: the removal of fuel subsidies has raised the cost of imported vegetable oils, strengthening competitive demand for locally produced palm oil; government import-substitution policy under the Nigeria Tax Act 2025 supports domestic agro-processors; and the stabilization of the naira since late 2024 has moderated input costs. The total FY2025 dividend of N44.66 per share, combining interim and final payouts, reflects strong internal cash generation and a capital-efficient business model with ROCE of approximately 47 percent. At N2,300 per share, Presco trades as a scarce stock accessible only to investors with adequate capital, which limits speculative trading noise and supports price stability.

5. COMPARATIVE PORTFOLIO ANALYSIS

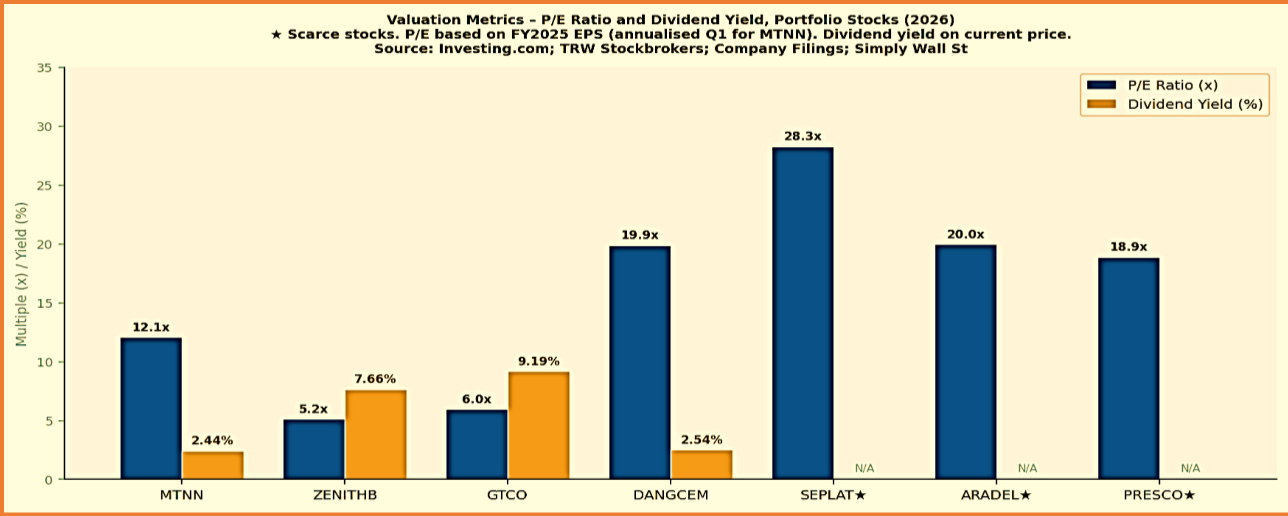


Figure 6: Valuation Metrics — P/E Ratio and Dividend Yield for Portfolio Stocks (2026). P/E based on FY2025 EPS; MTNN uses annualised Q1 2026 EPS. N/A = dividend not declared. Sources: Investing.com; TRW Stockbrokers; Simply Wall St; Company Filings.

5.1 Consolidated Stock Summary Table

All prices and metrics as of May 15, 2026 (or most recent available trading date). ★ Scarce high-priced stocks. YTD figures from January 1, 2026 opening prices. Dividend yields are based on FY2025 declared dividends at current share prices.

TICKER	COMPANY	SECTOR	PRICE (N)	YTD %	MKT CAP	P/E	DIV YIELD	52W HI/LO	RATING
MTNN	MTN Nigeria	Telecoms	820.00	+60.5%	N17.2T	12.1x	2.44%	270–915	**BUY**
ZENITHB	Zenith Bank	Banking	130.50	+111.2%	N5.38T	5.15x	7.66%	43–137	**BUY**
GTCO	Guaranty Trust	Banking	138.90	+53.3%	N5.08T	5.95x	9.19%	57–138	**BUY**
DANGCEM	Dangote Cement	Industrials	1,180	+93.8%	N19.9T	19.9x	2.54%	420–1,180	**ACCUM.**
SEPLAT★	Seplat Energy	Oil & Gas	10,450	+79.9%	N6.27T	28.3x	~2.0%	4,964–11,495	**ACCUM.**
ARADEL★	Aradel Holdings	Oil & Gas	1,835	+174.0%	N7.97T	20.0x	N/A	460–2,024	**BUY**
PRESCO★	Presco Plc	Agriculture	2,300	+58.6%	N2.68T	~18.9x	N/A*	785–2,315	**BUY**

** Presco FY2025 total dividend of N44.66 per share declared. Yield calculation pending AGM approval and final ex-dividend date.*

5.2 Portfolio Weighting Guidance

The table below presents indicative weight ranges by investor risk profile. These are not prescriptive allocations and should be adjusted to match each investor's specific risk appetite, regulatory constraints, and capital availability.

TICKER	COMPANY	RISK PROFILE	CONSERVATIVE (%)	BALANCED (%)	AGGRESSIVE (%)
MTNN	MTN Nigeria Communications	Low to Moderate	25	20	15
ZENITHB	Zenith Bank	Low to Moderate	25	20	15
GTCO	Guaranty Trust Holding Co.	Low	20	15	10
DANGCEM	Dangote Cement	Moderate	15	15	15
SEPLAT★	Seplat Energy	Moderate	5	10	15
ARADEL★	Aradel Holdings	Moderate to High	5	10	15
PRESCO★	Presco Plc	Moderate	5	10	15

6. RISK ASSESSMENT

6.1 Market-Level Risks

RISK FACTOR	DESCRIPTION
FX Reversal	The naira's stability is contingent on sustained oil export earnings, portfolio inflows, and CBN policy discipline. A sharp reversal driven by an oil price decline, capital flight, or policy misstep could reduce equity returns for foreign investors and widen the risk premium.
Interest Rate	The MPR at 26.5 percent remains elevated. Any upside surprise in inflation could delay rate cuts and compress equity valuations through a higher discount rate.
Pre-Election Liquidity	Governor-level elections in some states in 2026 and general elections scheduled for 2027 may trigger fiscal injection-driven inflationary pressure, delaying monetary easing and dampening market momentum in late 2026.
Global Financial Volatility	Nigeria's equity market is increasingly integrated with global capital flows. Geopolitical escalation in the Middle East, rate hikes in advanced economies, or commodity shocks could trigger capital reversals from frontier markets.
Oil Price Sensitivity	A sustained decline in Brent crude prices would weaken Nigeria's fiscal position, reduce FX inflows, and directly hurt Seplat Energy and Aradel Holdings. The macro backdrop for all equities would also deteriorate.

6.2 Stock-Specific Risks

STOCK	KEY RISKS
MTNN	Regulatory and tax risk from the NCC and FIRS. Potential development levies and tariff disputes could impact margins. Diesel cost volatility may compress EBITDA margin by up to 2 percentage points in H2 2026.
ZENITHB	Credit risk if macroeconomic slowdown drives loan defaults, particularly in consumer and SME lending. Treasury trading positions expose the bank to interest rate mark-to-market volatility.
GTCO	Same credit and interest rate risk exposure as banking peers. However, GTCO's non-banking subsidiaries and diversified group structure provide partial insulation from the core banking cycle.
DANGCEM	Energy cost and foreign currency exposure on inputs for pan-African operations. Competition from BUA Cement and Lafarge could erode market share in certain geographies. Current valuation of 19.9x P/E limits near-term upside.
SEPLAT★	Above-average valuation at 28.3x P/E increases downside sensitivity to earnings misses. Oil field operational risks, pipeline vandalism, and government regulatory uncertainty remain ongoing concerns. Limited daily liquidity.
ARADEL★	Limited analyst coverage relative to its market cap introduces information risk. Thin liquidity means large institutional sell orders can move the price sharply. Pending Q1 2026 results (due May 18, 2026) introduce near-term event risk.
PRESCO★	Global palm oil supply-demand dynamics and adverse weather conditions could affect plantation output. The low float amplifies price volatility. Higher borrowings from recent acquisitions add financial leverage risk.

6.3 Risk Management Guidance

Position sizing should reflect the liquidity profile of each stock, with larger allocations reserved for Premium Board names that can absorb institutional-scale transactions without excessive price impact. Investors with medium to long-term horizons of 12 to 36 months stand to benefit most fully from the structural tailwinds identified in this report, particularly the September 2026 FTSE index inclusion. A phased entry strategy, entering positions over two to four weeks rather than in a single transaction, reduces timing risk in a historically elevated market. Maintaining a cash buffer of 10 to 15 percent of the portfolio allows investors to buy into corrections without selling existing positions at a disadvantage.

7. CONCLUSION AND INVESTMENT DIRECTION

The Nigerian equity market is operating in one of its most structurally favorable environments in recent history. The NGX ASI set an all-time record of 252,508 points on May 13, 2026 before settling at 250,330.92 with a 60.87 percent year-to-date gain as of May 15, 2026. Market capitalization stands at N160.5 trillion. Headline inflation at 15.69 percent in April 2026 is a fraction of the 26.82 percent recorded in April 2025, naira stability has been restored in the N1,350 to N1,430 range, external reserves have reached a 13-year high of USD 50.45 billion, and the imminent return of global passive fund flows through the FTSE Frontier Market reclassification effective September 21, 2026 creates a clear structural catalyst for premium-priced equities.

MTN Nigeria (MTNN) and Zenith Bank (ZENITHB) are the two highest-conviction BUY recommendations, combining institutional-grade liquidity with superior earnings momentum, Q1 2026 PAT of N355.5 billion and N314.0 billion, respectively, and FTSE index eligibility. GTCO offers a sector-leading dividend yield of 9.19 percent with a sustainable P/E of 5.95x, making it the portfolio's best income vehicle. Dangote Cement is the NGX's most valuable company at N19.9 trillion market cap and rated ACCUMULATE at a 19.9x P/E, with entry preferred on pullbacks. Seplat Energy is a transformational energy story rated ACCUMULATE on valuation discipline grounds at 28.3x, while Aradel Holdings remains a high-growth BUY for investors with moderate to higher risk tolerance. Presco completes the portfolio as a scarce, well-managed agricultural compounder with a 57.4 percent FY2025 PBT increase and a N44.66 total dividend.

The collective portfolio offers exposure to five of Nigeria's most active sectoral indices, a mix of income and growth characteristics, three Premium Board names with FTSE index eligibility, and three scarce high-value stocks that structurally exhibit lower retail trading noise and stronger institutional accumulation profiles. This is a portfolio constructed for the full 2026 investment cycle, anchored in June 2026, structured to deliver through the FTSE inclusion event in September, and built on a fundamentally recovering macroeconomic foundation.

Nigeria is investable, reform-driven, and attractively valued relative to the depth of structural change now underway. For investors who act with discipline, patience, and a rigorous quantitative framework, June 2026 presents a high-quality entry point into one of Africa's most dynamic and globally visible equity markets.

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